BOND INVESTORS SHOULD WAKE UP (Guest: Guenter Grimm)

Podcast: Market huddle

AI Executive Summary

This transcript features a detailed market analysis focused on interpreting **Commitment of Traders (COT) reports** to identify market extremes, crowding, and potential reversal points. The speakers emphasize that high positioning (crowding) is not an immediate signal to trade against the trend, but rather a way to identify "stress points."

Here is a summary of the key financial insights organized by asset class:

1. S&P 500 (Equities)

- **Positioning:** As of the June 23rd report, large speculators are at the **100th percentile** of their 52-week lookback. Small speculators are at the 80th percentile, and commercial hedgers are also at the 100th percentile.
- **Key Concept:** The speakers warn against the "contrarian trap." Using a nightclub analogy, they note that a crowded club can continue to stay packed (the trend continues) unless someone "yells fire" (a catalyst for an unwind).
- **Strategy:** Do not short simply because the market is crowded. Instead, look for **divergence**: when price action fails to confirm the consensus view, it indicates that the crowd is wrong and a major move may be imminent.

2. US Dollar Index (DXY)

- **Positioning:** The USD is at an extreme **100th percentile** across large speculators, small speculators, and commercials. Most cross-currencies are "washed out" against the dollar.
- **Outlook:** While the dollar has seen a recent breakout, there is significant room for a pause or retracement.
- **Technical Levels:** The speakers are watching the **100 level** (the top of the 15-month range) and the **50-day moving average** to see if they act

as new support. They are not yet ready to "fade" (short) the dollar but are waiting for a test of these support levels.

3. Japanese Yen (JPY)

- **Context:** There is heavy speculation regarding potential intervention by the Bank of Japan (BoJ).
- **Sentiment:** The speakers note that it is much easier to weaken a currency than to strengthen it. While there is high "pain" in the current exchange rate, they mention that market insiders (the "Currency Whisperer") have been positioned for Yen strength via calls.

4. Gold

- **Positioning:** Gold is not currently at an extreme; it has moved away from being "washed out" (0th percentile) seen earlier in the year and is now seeing signs of accumulation.
- **Outlook:** After a roughly six-month correction/downtrend, the market is approaching a period where a bottom could develop.
- **Risk/Reward:** The speakers see an **asymmetric opportunity**: potential downside risk is limited (roughly 10%), while the upside potential during a rally could be significantly higher (20–40%).

5. Crude Oil (WTI/Brent)

- **Positioning:** Despite recent price drops, oil speculators are not yet "washed out" compared to previous lows. The market is heavily biased toward the bears.
- **Thesis:** The speaker maintains a long position based on a structural macro driver: **The depletion and eventual refilling of Strategic Petroleum Reserves (SPR).**
- **Sentiment:** While many traders are "puking" (selling aggressively) due to recent losses, the speakers believe the long-term necessity to refill global reserves will provide a structural floor/bid for prices.

6. Copper

- **Positioning:** The trade has moved from the 100th percentile down to the 80th percentile. It remains a very crowded, structurally bullish trade.
- **Critical Test:** The key is whether copper can reclaim its **50-period moving average** and move toward the $4.60–$4.75 range.
- **Strategy:** Stay long, but because the trade is crowded, it is an ideal time to hold **hedges** in case a failure to break out leads to a high-velocity unwind.

Core Methodology Note: The speakers utilize a "normalized" view of data, dividing net position by open interest. This allows for an "apples-to-apples" comparison across different timeframes, preventing the error of calling a position "record-breaking" simply because the total market size has grown.

Full Transcript

Hit it. It's July 3rd, 2026, Episode 295. I'm Patrick Suresna. And I'm Kevin Muir. This week, Gunther Grimm from Grimm's Global Macro Aggregator, GGMA joins us to talk about his career in London and Switzerland in fixed income and FX. He shares with us his views about the new Fed chair of Kevin Warsh and why the short term and long term inflation risks are almost mirror opposites. Oh, and yes, we do talk about gold too.

Then Patrick takes a moment to get out of the Mediterranean to tell us what he thinks about markets and talking charts. And folks, Patrick and his crew have been busy making a free commitment of traders web report that you don't want to miss. Make sure you go to caught signal dot com. Absolutely. You know what, Kev, super excited about this new website. We'll talk about it during the talking chart segment and we'll use it and go through what is there. But it's just we looked at a brand new way of looking at caught reports just to reframe it so that it's so easy to use. And so just it's completely free. Anyone check it out. Caught signal.

All right, so I'm going to drink a beer during this session because it's hot outside and you're doing Estrella or Estrella, which beer out here in Spain. So cheers, everyone. Danny, are you going to have a beer with me here? Are you leaving me solo? Fresh water for me. All right. Well, listen, Kev, give us a disclaimer, buddy. Nothing in this podcast should be viewed as investment advice. Listeners should consult an investment professional before making any decisions regarding topics mentioned in the show. Side effects of too much huddle may include the risk asset fatigue disorder, the cost be correction complex, or the semiconductor hangover syndrome. Yes, those are very appropriate for this. All right, let's get to the guest. It's our great pleasure to welcome to the show today, Dr. Gunter Grimm.

Dr. Gunter Grimm is the founder and CEO of Grimm's Global Macro Aggregator, GGMA, a Zurich based market intelligence firm he founded in 2025. He brings over 30 years of FICC markets experience, having held senior strategy, portfolio management and institutional sales roles at Goldman Sachs, JP Morgan, UBS, Credit Suisse and other leading institutions across London, Munich and Zurich. At Goldman Sachs, he was part of the currency team managing over U.S. 30 billion in assets for a fund ranked number one by the Financial Times in 2001. He has authored widely followed publications, including the UBS and Credit Suisse Macro Daily, a Swiss German dual national. Dr. Grimm holds a PhD in economics from the University of Munster. I said that right. Munster and is the CFH holder. He brings the data driven continental European lens to global macro. Gunther, thank you for joining us today. Kevin, thank you so much for having me.

I'm looking forward to this. You have very much a different background than many of our guests. And I would just love to know your life trajectory, like how you got here. Where do you grow up? Do you always know you wanted to be like a currency macro strategist? Like how did we get here? Yeah, let me just try to give you a brief summary. So I started my army service. started in the bank. And as he said, at that time at 18, I had no clue what I wanted to do. So I had a bit of time to think about it. And then within this bank apprenticeship, I learned about different sides of banking. So this corporate side, analyzing balance sheets, blah, blah, blah. And then I was in the markets division. And that's where I learned that my passion is probably more in markets. So I studied economics.

and then had the chance to do a PhD. My father said, I want to avoid work, which was partly right, but so I start very late. I think what distinguishes me from others maybe that I started working when I was 30, which is, but I didn't waste any time to be fair. At the time, you went two years to the army, two years apprenticeship, you studied five years and Anyway, so, and then I started as a FX strategist at the Bavarian Bank, Hyperfiance Bank, which is now Unicreditor, and then had the chance to get a job at Goldman's asset management. Right. Okay. At the currency manager. And that was really fantastic. What year would that have been? Like, when did you join? That was in London. And I joined October 98 when the yen carry trade blew up. I will never forget. My boss, Anna Hazel, lovely guy. He was asking me, I just started really. And then they said, Kundo, what do we do? I said, what do you tell people a little bit? Let's just dig into that because that's interesting. So you're, you know, you've You've grown up and you mentioned the army. You have to do two years of or a couple of years of service. Is that how it works? That was at the time it was compulsory. Then they shortened it and then they abandoned it. And now they're thinking about reintroducing it first on a voluntary basis. But it was a great time.

did my high school degree and then I stopped thinking because I did something completely different and that was the right thing to do and also that's what I tell my son who's now here in Switzerland has a Swiss passport, goes to the military. The big advantage is apart from politics is you learn, you get to know other people from different areas of society and that's the only time I guess later on you are on track in your own little balloon. But there you met the butcher's son, everyone. And then you learn how to have to bond in a difficult situation. You have to stick together. That's fascinating. I wonder, yeah, more and more countries are going to be doing that in this age of geopolitical tensions. Okay, so you go to Goldman after all of this university, you get plopped in there in terms of, and this is Goldman asset management, like the buy side, not the sell side. So you're managing, you know, some sort, is it a fixed income only? I mean, sorry, is it is a currency and fixed income? Is that what it is? So we had various products. So the team was responsible for, we had our own currency fund and overlay management as well.

various other funds. So at Goldman's, and I think that was the right way to do every fund measure, let's say fixed income or equities, they had to look at it on a hedge basis and they gave us the currency risk as a team to then decide do we hedge or un-hedge. Ah, okay. And so you get popped in there and it's right before like as long-term capital coming unglued, I guess, right, in terms of that. Explain to us, you know, for folks that don't know that period, what it was like in FX, you know, tell us a little, you know, and then you're this young guy that's getting plopped in there. What were the stories like? How did you adapt? You know, give us some color on that period. Yeah. So at the time, the carry trade was a massive thing. So various carry strategies. So buying the high yielders, funding it with the low yielders, and everybody was doing it. And then came along the dollar yen.

trade blew up. So that was a really historic event and left a mark. I can't remember how much did the Yen move at that period? I just looked at it, I think around 30% or so over a period of time. Yeah, it was huge. We're going to talk about the Yen later today because it is something that could be maybe experiencing something similar. Okay, so from there, where do you go? You know, give us the further evolution of your career. Yeah, so I was really happy. We had a fantastic team and then they asked me to run fixed income, European fixed income. And I found it interesting was the right move within my career to also learn more about fixed income. And but then I was lured over to the dark side, the same side.

And, um, yeah, it is what it is. Um, but maybe I should have stayed on the buy side. I think it's a fantastic firm to be fair. Um, I'm a huge fan of them as well, especially I find the London guys really terrific. Yeah. It is what it is. And then I started JP Morgan on the set side. Um, you call it the dark side and you didn't like it, the sell side as much to explain to us why you didn't like it as much in. you know, for those who might be thinking about it, you know, give them the kind of picture of why you felt like maybe you should have stayed on the buy side. So initially on the sale side, it was fun. And to be fair, you are a one-man show. You build your own business. At the end of the year, you look at the numbers. Did you perform or not? And that comes the bonus or not?

So it was pretty straightforward, but then it became a bit more political, a bit of envy. It's difficult to build up a team. You're never sure if the guy is sitting next to you is after your chair, you want to cover your clients. And then of course came along all these scandals. And the new trend was to go electronic. So in the old days, you call you have an idea. I always wrote my morning commentary. People liked it. And then he had a little chit chat on the phone and talked about markets, maybe ideas. And then he said, OK, you know what? Just buy me a yard of Euro dollar. I like that. OK. Pick up the phone to the trader, both on them. And you had a deal. And everybody was happy. It was win-win. Now you have 20 banks on your panel. And even if you have a good idea, it doesn't matter. It's best price.

And now it's also all electronically executed. So you only have a salesman there for problems, basically, which land on your desk if something went wrong, confirmation missing. And then I had enough. So I was at JP Morgan, joined Unicredito before the crisis. They had big plans to expand in Asia. It was a fantastic story. I was heading a team, European money. I know it's a more second 30 bank at the time. And then comes the crisis. We had our two twins. Unicreditor was about to almost go bust, but so was every other bank. Then Royal Bank of Scotland, believe it or not, came along. And there were two Germans covering German clients. They had enough. They went back to the fatherland.

And so they desperately needed a German salesperson. So I went in the seat and started covering Swiss clients. Oh, OK. And those monumentals. So I came then to Switzerland, visited them very nice, very welcoming. And then I came out of the airport or the train station. I said, what's going on here? Everything is so nice. Everything works. People are nice. And then I said to myself, we had twins, as I said, if I have the chance to move to Switzerland, I'm going to take it. And then my ex-colleague from JP Morgan, Richard Longmore, he became head of European Real Money here at UBS. And I said, Richard, if there's a way, please let me know. And so it was. The seat became available. UBS at the time also was still fit in trouble, stabilizing.

Then came Quaco, another story. But I was very happy there. Started again as a salesperson, then migrated a bit into the UBS Knowledge Network, which was the answer to MIFID, like a semi-research outlet, because at the time economists or strategists were not allowed to be in Bloomberg chats anymore. There was a scandal, so they were separate. So then we invented this Knowledge Network. and covered store clients with views. What was the scandal with the Bloomberg chats? I don't even know the story. Fixing scandals, LIBOR. Oh, the LIBOR. OK, I know that one. And then all of a sudden, the US had no more and other banks as well, no more strategists. So that's research that's separated. Right. OK.

And so then you're moved to Switzerland, you're having a great life. And what have you done since then there in Switzerland? So then I was doing this knowledge network stuff, but then of course I was a cost center at European L anymore. I was over 50. And so I was made, well, restructured for lighter ways of saying you're fired. And then I had the chance to join Credit Suisse as a trading strategist. And I loved it. I was between the sales guys, the traders, I was seeing clients, telling my stories, our stories. Sharpe Jarlinos was my boss, fantastic guy as well. I can only highly recommend him to read his stuff. But then we know the story Credit Suisse went bust. And then I decided I want to do it tomorrow.

And so since then you've been running your own, your firm, this, this was always in the back of my mind. Yeah. And so what year did that start? So, uh, 25. So last November, it's just, it's brand new. It's brand new. Yeah. Okay. So we're always at the plan. Yeah. Uh, because I was writing these morning comments. I wanted to have a website, um, build it for seven years on the side as a hobby. Right. It was never live set. Good. Nice idea. But you need an app. And then I took a big. Breath must fold the website and start developing the app since April last year. Oh, that's awesome. That's terrific. Um, you know, before we get off your, uh, your history, I think I read when I was going through your bio that you did machine learning when you were at school. Yes. So, so I would love to, I would love to kind of, you know, cause that must have been a fairly long time ago. Yeah. And people who know me must laugh.

Because so during my master studies, you have to write a diploma thesis. And the assistant said, OK, you like currencies. It looks like let's write about something interesting. It was I think currency forecasting speculation. And then along my studies, I came along the software from Siemens. It's called. S-E-N-N software environment for neural networks. I had no clue. I'm really bad at math. I can't program. And then I finished my masters, but I always had this idea in mind, maybe write a PhD about using that software to predict currencies. And at the time it was a big hype, right? AI was in everybody's mind, like now, which reminds me of that period. So I finished my master and then went to my professor who liked me and I liked him.

Can I do an external PhD? Normally you work for the doctor for five years or so. He said, yeah, you can be my assistant for 10 months. We have a little budget. And then I went off to Munich where Siemens was. And they were so kind to let me do the calculations using their software. And to be fair, I had no idea what this was all about. But I put in my numbers. The idea was to test historical exchange rate models. the various theories, what you should use as an input. So I did that. And then did the math and compared it to a standard linear regression model. Right. And then I learned what's going on in this neural network, the positives, the pitfalls and so on. And yeah, that was really fantastic time. And at the same time, I financed it with working the research department of high-profile spin. Okay. We'll talk more about AI when we get to your market views here.

Um, okay, let's start with, uh, let's start with the fed. Yeah. Cause I think the fed is interesting in that. I don't know about you, but I talked to my, um, my equity based, uh, kind of trader buddies and they're all, you know, coming up with these theories about why the fed is really dovish and Warsh is going to lower rates and all this stuff. And then I talked to my, you know, of fixed income trader buddies or my stir buddies. And they're all saying, oh man, that was the most hawkish fed we've ever seen in terms of the recent press conference. I view this probably as one of the more transformational feds that we've ever seen. And that this is a huge point. And I think that there's a lot of uncertainty about what this really means when when worse says different things. So why don't you walk through how you're interpreting what he's saying?

and what it might mean for markets going forward. Yeah. And I think it's worth remembering before Walsh started the setup. So the setup was, as you said, he's a Trump appointee, Trump wants lower interest rates. We know that. And therefore, I guess the bias was, OK, he can't be that hawkish. Right. And then we had the start of the Iran War, the oil price spike. higher inflation numbers, other central banks like the ECB front running the hike, but still people I think went into this first Fed meeting with the dovish buys probably looking at the price action also positioned that way and then came a long wash but with hindsight I think it all makes sense, Harry hindsight of course because so he wanted to he has some hawkish credentials But the goal is really to lower interest rates along the road. And how do you do that? You sound hawkish and hope that the market buys it, which it did two years, two years spiked, the curve flattened. And so the long end was in check a bit. And inflation expectations, because in the meantime, we had the Iran ceasefire negotiations, oil prices coming down gently.

break even inflation rates also coming down. So it's all working for him now at the moment. So a friend of mine told me that he's still a dove, maybe in Hawke's clothes. We will have to see. The fact is that he has set up now these commissions and we have to wait for the outcome. He doesn't give forward guidance, which I think is not a bad thing. It means market participants have to do their own homework now. have to try to forecast the labor market, the labor market and CPI, I guess those are the main variables. And the economy, of course. And so it's going to be interesting. Some say that could increase volatility, but as Warsh also mentioned, since he took over, yields have come down, although they have spiked up higher again. And volatility in the bond market has also come down. Stocks, I think, have taken it very well.

talk is cheap, but now we have to see meeting from meeting. There's some rate hikes priced in, how that develops if we will validate those expectations and high grades really. Or if he then says, listen, in the meantime, the oil price has come down, the inflation outlook has improved, the last labor market report was a good deluxe report in my view. So no inflationary concerns. And I think my gut feeling is he won't hike. It's a big bet. Right. One of the things you mentioned there is that he's going to take away forward guidance. In the modern history of the Fed Reserve, we've never seen a Fed go and do a cut or hike that wasn't fully priced in like three days before the cut. Do you think that's changed? Do you think we could have a situation where we have a 20% chance of either way, a high curve cut, and then they actually do it. And if so, how does that not mean hire an uncertainty premium that needs to be priced into the front end of the curve? Yeah, you have a very good point there. So at the moment, volatility has come down a bit, but I agree. And he said, listen, we have a family fight in this room, and then we come out and tell you our decision.

So, yeah, I think you're absolutely right. And therefore the market pricing is what it is, like let's say call it 50-50. And I think this could be the norm going forward. Yeah. And I think that the market hasn't really appreciated how little they're going to get spoon fed. And if they're not going to get spoon fed, like it doesn't, it means that they have to surprise markets. I really truly believe that I'm kind of confused. What's interesting is that, you know, I was talking to a, you know, a pod, you know, a pod shop buddy, macro buddy, they bought this the other day and we were chatting about what, whether that truly means more volatility or less in terms of the market. And one of the things though that I remember is Bank of Canada, Governor Polos did this once. He surprised the market with a cut or a hike. I can't remember which way it was.

And he said, you know, it's important that I just introduce some uncertainty to the market. It didn't seem to affect the markets back then. So maybe we're overstating like in the reality is like, they surprise with one cut or one hike in the grand scheme of things doesn't really matter. Like they'll fix it the next one or like, you know, maybe we as markets, market participants are too attuned to it. And this is part of war saying Let's step back and think about the longer-term horizon and and maybe it does you know lower volatility from a longer-term perspective You know do you have any thoughts about that? Yeah, maybe one should then just think out loud here distinguish between the short end and the long end so maybe a surprise hike is yes, of course very Could lead to some short and volatility, but it could calm down the long end and I think the long end at the moment in general not just in the US, but everywhere, especially in Japan, come to that. It's very important. You want to keep the long end in check and don't lose the long end. And if it means maybe a retic in the short term, so be it. So it could increase volatility in the short term, but maybe reduce it in the long term. Okay, let's talk about that long end in terms of the US. And I don't think people like especially non fixed income people don't appreciate how much the long end is Sensitive to whether the Fed is overly dovish or overly hot. I mean overly dovish in essence and I think we were on the cusp of the market of the long end being scared that the Fed was gonna be actually under a Trump puppet and by going and Saying, you know, no, I am my own person price stability is what matters he anchored the long end. Talk to me about the response about the long end in Warsh and then you mentioned something about him. Maybe he's just talking dovish to calm down the long end and also inflation swaps declining. But what if they're declining because he was hawkish? And what if he doesn't actually follow through whether we'll get the market responding negatively? Yeah, it's a very good question. I was thinking about that as well because what we're seeing right now is the restiefening bit of the curve. We see a weaker dollar, we see rising stocks. So the market was initially surprised by his hawkish response, sold off, and now was kind of relieved because he mentioned at the Zintra conference when he was on the panel with Bailey Lagarde.

And they all mentioned energy prices have come down. So maybe you don't have to be that hawkish. And I think the fall in energy prices takes a huge burden of these central banks. And my gut feeling is they don't want to hike. They don't want to rock the boat. I believe in this fiscal dominance theme. And they know what's at stake. If they hike too much, look at Japan weighs years back when they hike too much, it all blew up. So they have this in mind and therefore they want to pretend that they are hawkish price stability and so on and so forth. But deep in the heart, they don't want to hike. And so if they don't hike, do you think that the long end might like go back up and yield? Do you think the long end might be disappointed going forward? Yeah, could be, could well be. And one of the things you mentioned there is that they don't want to hike because they remember like, isn't it a trichet that hiked into?

So give us that story and what happened there and what's in the back of their mind when they're thinking about the worries of hiking too much. So Trichet as a French central bank governor now at the helm of the ECB, I think wanted to build up credibility like the good old Bundesbank. And at the time I remember many smart people said, no, no, don't hike. It's a mistake. You have to reverse it. That's exactly what happened. So he hiked and then there was a mistake. I think he hiked twice, didn't he? It wasn't just once. I think he hiked twice and didn't he usher in the European crisis? It all came together. Yeah. So when you're thinking about things, the Fed and all these central banks were walking this line in terms of this inflation. Why don't you talk to us a little bit about your view of inflation?

the short term versus the long term and how you see is playing out and what the risks are to both. So in the short term, my gut feeling, and I'm not an oil expert, but I read what everybody else reads, but if I put one and one together, I think the main policymakers, the US and the Iranians, they want lower oil prices. The US, because Trump has the midterm elections, he wants to win, and therefore needs lower oil prices at the pump. gasoline prices and the Iranians are desperate for money. And the other OPEC members, they also need now cash to rebuild everything that was damaged. And so I think how likely is it that the war resumes? I put a rather low probability to that famous last words, heading into the midterms. What happens then is maybe different.

But so my gut feeling is we might now undershoot because remember when we when this war broke out a lot of to be honest smart oil analysts said okay this is apocalyptic we're heading into 150-200 scenario this is really bad which it would be but never really materialized and special factors like the Chinese not importing but running down the reserves and the US as well and so it didn't turn out as bad. But I think a lot of people were positioned for higher oil prices. So now maybe the pendulum swings back and maybe we undershoot. If I look at the charts, low 50s is not impossible. I still have this oil clock during the COVID prices in mind. I mean, that was COVID, of course, took a completely different situation. But why not low 20s, 10s? But there will be a flaw because all these major oil players countries have to rebuild their oil inventories.

So there will be a floor. Is it 30? Is it 40? I really don't know. But at the moment, my bias is lower oil prices that will feed into lower headline inflation, hopefully also into lower core inflation, and therefore will relieve the central banks. Okay. So when we see that in the inflation swap market, you'll see the one year inflation swap has fallen over the last couple of months from 320 to 220. Yes. So the market is completely agreeing with you. So you're seeing this and that's why you think the Fed might be willing, you know, the Fed, not just the Fed, all central banks might be looking willing to wait out a period of higher inflation. And worth mentioning, I love looking at real years and the inflation, expect inflation. And if you look at real years, I just checked, they have been Climbing and now stabilizing. Yes, but at relatively high levels. So the 10 years just above 2% 30 year is it to 80 or so in real terms. So there's a bit of passive tightening going on right doing the job. When did you explain to people that make not know what real yields are like, you know that yeah, so you have the nominal yield and you can break that down into a real yield and theory. That's a theory.

radical concept and then the expected inflation rate and one should also mention maybe credit risk premium. But let's ignore that for the time being. And there's a market for that in the US. It's called the tips market so you can trade the securities. So if you have a view on inflation, you can express that in the tips market. And I look at it all the time. And for an economist like me, it's a great concept because the real year should be driven by growth.

And then, of course, central bank policy, fiscal policy, I think also plays a role. And then you have inflation. At the moment, it's mainly driven by oil inflation, energy inflation, but other factors as well. So if you have a view, you can express it there. And I look at it, of course, if you see rising real yields and falling inflation rates, maybe that's positive for that currency, but maybe not so good for the stock market because falling.

inflation rates mean maybe less earnings. But that's a different story. So yeah, I think it's a very, very important indicator. Right. So you have this view on the short end of the inflation market is, you know, we could have a six months a year of declining, at least the rate of change of inflation will be lower. What do you feel in terms of the longer term risks to the markets into the economy in terms of inflation? Yeah, so I came across this book from Charles Guthard. And again, I'm an economist. I love central bankers. And he was at the Bank of England. He's an economics professor, I think very intelligent. And he came up with this book.

And I think he republished it, updated it, and made, I think, very sound arguments why inflation might be on a long-term upward trajectory. One is demography, so shrinking workforces, putting up upward pressure on wage inflation. And that light also, China, as we all know, manufactured a lot of cheap, manufactured goods. based on cheap wages in China. So we had this disinflationary deflationary China shock, which might be reversing. We had globalization. Now we have de-globalization. And I really believe it. Everybody has forgotten about these terrorists, but it's still happening. And that should be inflationary. democracy I mentioned, we have higher real yields because of fiscal deficits and fiscal dominance plays into that. And the central banks now afraid of potentially hiking less than they should and fueling this inflation as well. Right. And so if you put all these together and you think about what you are forecasting in terms of inflation over the long run, you think it's going to continue to surprise to the upside? That this is that although we had this spike in 2022, a lot of folks argue with always just COVID. It was just supply side. It wasn't really anything different. We're going to go back to 2% and sub two, and we're going to return to the nineties to 2010s or 2020s. Um, but you're in Charles.

book, a camp that this is, that the anomaly was lower inflation before, not now. Yeah, I agree. And unless we see a severe recession, depression, I think we are on a gentle upward trend in inflation. I'm not calling for hyperinflation, although I'm German. You're not calling for it, but you're worried about it. Yeah, I am. I am. That's the first thing I taught my children, they were laugh. but they are witnesses because my father did the same. It's ingrained. It's ingrained. It's just passed it along like a tale that you have to indoctrinate each person with this worry about inflation. You've got to be worried about inflation. I wish I would be Italian. So it is what it is. And so I think 3% is maybe the new 2%. OK.

But see, what are my problems with this? And I'm willing to buy that. I completely understand and I don't know this book. By the way, for those who want to go buy this book, it's called The Great Demographic Reversal, Aging Societies, Weaning Inequality, Inequality, and an Inflation Revival by Goodheart and Predham. And it was published in 2020, I believe, or in 2019, somewhere around there. I'm embarrassed to say I haven't read it. I'm going to go, you know, order right after we get off here and go read it. But one of my kind of problems with this is, okay, so we know inflation is going lower in terms of over the short run, but we've just made the case that inflation is headed higher over the long run. And I think you could actually very credibly make that case because if we look at the reality is that Worsh has said a couple of times or not even a couple of times, many times, the Fed hasn't hit its target since 2021.

It's been a long time. The world has changed. But yet he continued to say, we are going to deliver price stability. And I think when he says that, to me, he's saying he's going to get to 2%. And I thought it was funny that a lot of people listen to him talk because in the past he had talked about the left-hand side of the decimal on the right end of the decimal. And if you listen specifically to him in the FOMC press conference, he said, no. It's a two, and it's a zero. And he was very clear about that. How do they get back to two if we're faced with this, you know, up secular upturn in inflation? And see, that's my problem. And isn't inherent in that the chance that Warsh is going to over tighten? Like, isn't he going to make the mistake? You're absolutely right. And I also thought about it. And because you also mentioned financial conditions.

but in different sectors okay the housing sector he said for example well it's rather tight because you have high mortgage rates and they're stressed maybe um but then he looked at stock markets you look at stock markets credit markets they are they are financial conditions are really very favorable for growth and then at the same time we have this k-shaped economy where wealthy individuals um have a higher propensity to spend So I was thinking, how do you square the circle? Maybe by reducing or introducing a negative wealth effect by trying to maybe engineer the stock market a bit lower, and that was the initial reaction. Maybe the balance sheet, but then he was also defensive there. But okay, I think the balance sheet is a great point. I was going to bring that up because I think if you listen closely to his comments in Cintra, he implied that the balance sheet created financial wealth instead of real economic wealth. And if you read between the lines, it seems to me that he really, truly doesn't like the large balance sheet. He does think that it's the problem with inequality. And then the question is, if that is the case, is he going to be able to convince the FOMC to abandoned abundant reserves and moved back to scarce reserves. What do you think? So he said, because I remember initially when his name came up as the Fed governor, the market was a bit scared because also of his view on the balance regarding the balance sheet. And then it became more clear that he becomes a Fed share and the market wobbled again. And then he backtracked a bit and said, listen, and he did the same at Syntra. He said, basically, It took us 18 years to come up with this huge balance sheet. We can't just reduce it within, I don't know, a couple of weeks. 18 weeks, I think he said. 18 weeks. So he will be very careful, I guess. But yeah, you're absolutely right. He doesn't like big balance sheet. And I also wonder why he does like the Bank of Japan. Why do they buy equities? Why do they buy bonds, mortgage bonds? Are they still buying? Are they still buying?

the Japanese government bonds and they just reduced the tapering. I didn't know that. Think about the signal. I wanted to look at the balance sheet contracts here over here, but they're still buying JGPs. And I have to look into the exact numbers, but it's a fact. Okay, so let's go to Japan because it's my pantry too. First of all, like, have you ever do you remember a period when on a purchasing power basis that, you know, currencies were this cheap, like you go to Japan and, you know, it is just dirt cheap, right? Like, you know, and it's only like I went a couple of years ago and it was dirt cheap and it's only gotten cheaper. So, you know, they're going to they're going to they're going to raise their rates just because they're fed up of all the tourists coming. So so.

What's going on there? Explain to folks what's happening and what your views are and whether you think that what it'll take to fix this. Yeah. So we have to make a distinction between the goods market, which is what purchasing power parity is all about, and then the capital flow market. So as we know, the capital goods market traded on the exchanges is rather small compared to, so it must be capital flows. So why is capital fleeing Japan? I think there are many good reasons. High debt, low real interest rates, central bank, which is really behind the curve. I mean, what they're doing, I don't know, but they are scared that they repeat the same mistake they did years back. Explain to people what that mistake was and why they're scared of it.

I can tell you my anecdote. So I mentioned my bank apprenticeship and I was in this financial markets department and there was this poor guy coming in every morning, bought the Nikkei at the time, I think it was around 40,000. And it kept falling and falling and falling. And just a year ago, so people or this guy would have made his money back. So 40 years later. People say, oh, no stocks. You have to buy stocks. It always goes up. Have a look at some markets. They always go up. And so why is the answer? It has to be capital outflows also when there was intervention or not or a verbal intervention. It dipped and then immediately came back. So these dip buyers. So the real interest rate differential is a problem and put positive for the dollar.

So the question is, how can that reverse? So we need, I guess, a US recession. I'm not predicting that. Maybe slow down. But yeah, at the moment, and then now with wash, potentially hawkish, fat share. So that helps or keeps a bit in dollar yen. At the same time, it causes a lot of problems for the Japanese bond market, the JGB market. And we see that. The long end wants to go higher. And then if they let higher yield, higher yield. So if they let dollar yen go, you have higher imported inflation, inflation expectations are now above 2% in Japan even. Yeah. Correct. But real yields are also climbing higher, but still below US levels. But isn't the solution to their problem, the GPIF like getting told that instead of owning

25% of your foreign exchange or your fixed income in foreign bonds that you bring back 10% of that or 20% of that something. That's a secret weapon. Because you hear here also now a co apocalyptic forecast of 200 in dollar yen. I mean, everything is possible. But before we get like 200 oil.

But before we get there, I think they can pull a lot of other levers, as you said. Is politics a lack of leadership? What's stopping them from doing what's needed? The PM doesn't want a too strong yen. Oh, you think she actually wants this? She appointed two dovish members to the board. Retire so one has I think now joined but he made okay comments neutral comments Not that office the new board governor, but I think inherently she doesn't want is too strong yet So she's worried The mistake they made previously and that's by the way that that same mistake about letting the the currency rise is what's kept China from raising their currency rate as well She has her growth agenda And those plans are very expensive from a fiscal point of view. But then from a fiscal point of view, that would be that would be further credence to my theory that you should bring back the GPIF so that you can fund that. Yeah, but first, I think you have to let interest rates rise to make it attractive. But I think on a hedge basis, it is already attractive to rather invest in Japan than rights, but I have to double check.

But yeah, ideally you need higher interest rates, higher than in the US. Of course, is that realistic at the moment? No, at Snail's pace, they're talking about another hike in December of 25 basis points. We are now at 1%, I believe. So are you a long suffering Japanese yen long like me? Yes, I'm bleeding every day because of the curry. I have this memory in my mind that dollar yen can also move. very, very violently to the downside, and I don't want to miss out. By the time I throw the towel, you can probably go short on it. That's what I tell everyone. I'm like, oh no, you're still holding it. But here's my hedge potentially. I also think Euro yen or Swiss yen is too high, too expensive. And you have better policy divergence here. You have this SMB, for example, but I've been saying that for a long time, and this is not investment advice, of course.

But you have now an SMB inflation is rather low, which is firmly on hold and potentially would cut if Frank would go too strong and intervene. So there's a bit of a flaw in euros for sale. And then you have the BJ, which is slowly but steadily increasing rates. So here years are 0% policy rate. And in Japan, they will probably climb to one and a half or two even in a year's time. So the carry. slowly but steadily moves in favor of the yen in nominal terms. Inflation is higher in Japan, so that would, in real terms, then you end up at zero, let's say, if inflation is at 2%, nominal at two. But the trend, I think, is your friend in this case. But you have to be very, very patient. I was just pulling up the chart for the Swiss yen cross-rain.

And it's actually gone sideways for since 2026. It is not it has stopped rising like it had a big move in 2025, but it almost looks like it might be topping. Yeah, it's almost a victory for us. We lost the carry. That's all we lost. You know, speaking of FX markets, that's obviously your specialty. What am I one of my terrible calls apart from the end? has been that I thought FX ball would rise. And my theory was that Trump was, although he talked about a stronger dollar in his heart of hearts, he actually wants a weaker dollar. And I thought we would have more disputes and we would have Trump saying, your currency is too strong, pushing things around.

And it's been an absolute dud of a call. It's probably been my worst call that that FX ball would rise. It's been, you know, we've seen fixed income go round ball rides. We've seen stock market ball rise at different times. We've seen precious metal ball rise, obviously. But yet FX ball sucked. Why is that? And do you think that that is just the new way of the world? Or do you think we will return to a world where FX is actually exciting again? I wish, but for me, the currency rate mostly, not everything, but mostly reflects monetary policy. And at the moment, they are all a bit in sync. Sometimes one central bank deviates by maybe 25, 50 basis points, and then the other follows. But you don't have a policy divergence where you can make the case, OK, the US now needs higher rates, 5% safe funds, and you have a slowdown in Europe.

and they need to lower rates. That would be a clear case. I would say that's very positive for the dollar bet for the euro. I don't find these scenarios very often these days. Okay, but why is that? Because wouldn't you argue that in this day of tariffs and de-globalization that we should actually be having more divergence in the underlying fundamental economies? That could very well be, but probably it takes a bit of time. Okay. These things change slowly. But it's a very good point you made. Yeah. Okay. While we're talking about FX, let's move over to our favorite thing that you have. Obviously, as a Swiss German will love talking about gold. One of the things that I think is interesting is that one of my theories was that in 2022 when Russia invaded Ukraine, A lot of the folks that had their dual regression models between real rates and US dollar versus gold, they were all sitting around. Some of my biggest gold buddies were sitting around waiting to buy gold lower and I kept saying, nope, the world's changed and the people's bank of China buying will change things. That was that worked for a couple of years. My theory that you should throw that model away. Having said that, I think that this last, you know, maybe six months has seen a return of that model.

What's your theory? I mean, what's your view on that? So of gold versus the US dollar and real rates and the people's Bank of China just square all this in terms of how you're thinking about it Yeah, I think the reason my gold and at the time also Bitcoin had his these phases rose it was people lost confidence in central banks, okay confidence that they really mean it when they say talk about 2% inflation. And you mentioned how many years the Fed has missed and the ECB and how they missed this COVID shock and Japan. So, and I think there's an argument that is still valid in the long run that central banks will under deliver coming back to Gotthard. Okay. Basically keeping real years to low, long term, long term. And Also, the other big factor, I think, which will support gold in the long run is central banks buying gold instead of dollars. So less dollar reserves, having had this experience with the Russian reserves, which got confiscated, which I think was the right way to do, by the way. But it leaves a scar. And so less trust in the dollar, maybe. But where else do you go? Do you then buy the euro?

Not sure. Do you buy the yen? Do you buy the yuan? So there's gold. And Bitcoin hasn't really fulfilled this role looking at the price action there. So I think gold should be in everybody's portfolio. It depends on the share. I really see gold as a hedge if something really bad happens. Well, you can't go to the ATM anymore with your credit card. And you want to have gold nuggets in your little safe down there to go to the butcher. Yeah, no, hyperinflation. Do you think we've seen the bottom in this recent move? My short term because of my fat view, I could see it rebounding. And then we really have to watch Wash's first rate decision on the next rate decision. Okay. So to that point, you are of the belief that real rates in the U.S. dollar and the traditional metrics of what drives gold prices is going to return for the short run? Could well be, yeah. I think really it's have risen. The dollar has benefited from that and gold probably has suffered because of that. So short term, yes. The long term bullish gold factors I think are still in play. Okay.

Finish up with the political risk in terms of the U.S. midterms. What do you see happening there? And what does it mean for portfolios? I'm, of course, not a U.S. political expert. But again, if I read the press, I see a general tendency because of this income inequality, which is happening not just in the U.S., but everywhere, that the political pendulum swings from one extreme to the other. there's no middle ground anymore. And now we had Trump, people are a bit frustrated with inflation too high and the economy for some not doing as expected and as promised. So I see the risk now that something like what happened in New York with a socialist, allegedly socialist mayor now happens a bit in the midterms as well. So a shift to more left-leaning, very liberal Democrats. And I'm not sure. So it will paralyze Trump's policy agenda, I think. And then, of course, it also increases the risk that the next president will be two years later, coming from the Democrats and maybe not a moderate Democratic candidate, but a more even left-leaning candidate. And I'm not taking sides. I can see why this is happening.

But it's just I'm looking I have to look at it from you have to you talk about what's going to happen as opposed to what you want to happen What do you think that means to the markets though? And like negative Right, but you think that they would see that already right like I don't know what I struggle with But yet I go and look at what's priced into the S&P like you can look at the forward implied volatility Yeah, and there doesn't seem to be any worry about it And I actually think that that's a trade. I'm going to write that up recently, you know, shortly. But I'm with you. I look at this, the upcoming midterms. And I think that there's a lot of risk. And I think that that that that would be the best outcome is that they just it leans a little left and everything goes well. There's there's some cases to be made that there's something worse that happens. Tax policy. Well, tax policy is also, you know, a worry that that there's political uncertainty. The elections don't get certified. There's an uncertainty that there's political, you know, discord, you know, it just ends up being that I'm I'm shocked the markets aren't more worried about it. I'm with you. Absolutely. Well, listen, you know, this is not very good. You and I were wrong on the end. We're going to be wrong on this. Okay, listen, you know, actually, I'll ask you one last question.

in terms of before we get off the markets. I've asked you a lot of different things. If you were interviewing yourself, what would be kind of the maybe something that we've missed that you would think is important that you would want to talk to people about in terms of your market views? Yeah. So I'm very interested in history, economic history. And sorry, that's the cat. And I wonder what would it need to get us into a big depression? So why is it now so easy to avoid this depression? And what were the signposts when we were heading into the big depression? So I'm going to follow this theme to see what must happen that we could end up in such a scenario, which would be really bad. And it's not my forecast, but I want to be mentally prepared if it happens.

I want to be early and not too late. I think that's a great point. And I was laughing with someone the other day because I was saying, remember back to 2023 when we had a situation where the most professional forecasters in terms of their forecast for the next year were the most bearish on the economy that they'd ever been in the history of that fed data for the past 50 years or something like that. And yet it didn't, the recession didn't come. Now we go and we look at it's just the opposite. Nobody's talking about recession. It's like we've, it's like we've thrown them away. Like, tell me, tell me somebody, the things we can have a recession again. Yeah, it's, it has to do with, with fiscal and the bond market not rebelling. Okay.

You mentioned fiscal a couple of times and I'm actually a big believer that the fiscal is the most important part that people have missed time and time again. And one of the things that I believe is that the 2020 brought in this era of fiscal dominance or at least introduction of reintroduction of it. Do you think that fiscal is going to continue until the bond market takes away the keys, as Bill Fleckenstein says? Absolutely. So when politicians have this feeling, whenever there's a slight problem, you just throw more money at it. And the bond market doesn't punish them. Well, I think the bond investors should wake up, but they're all stuck in their benchmark and you have to have 60% in long term. I don't know. Maybe that's the reason. So this passive investment strategy forces them to buy bonds automatically without thinking, what the hell am I doing here?

So I would be short duration long term. I got it. I'm with you. I hear you. It's tough. But the trouble is that if you from a cyclical point of view, it's easy to make the case that there's a lot of, you know, optimism priced in and we might actually get a roll over rolling over of the economy. But anyways, that's some terrific stuff. Let's talk about your product now. You know, you mentioned that you started this in the last year. Tell us about it. You know, why you started it, what it is, and how people can learn more about it. Yeah. So I mentioned that I was on the buy a sale side and I always wanted to have information really in a very nice, digestible way also with a short time, a short.

attention span. So I wrote my morning comments and the biggest compliment I ever got was from a big hedge fund guy said, Günther, I read your morning brief, the only one. And I know 99% of the main stories, which I need to read in there because he gets 20 of these emails. And then I thought, okay, I built this website on the side, never went live as a hobby for Plan B and made a pitch. And then this guy said, It's nice, but you need an app. So I mothballed it and then started developing this app with my great guy in Ukraine, who's a great programmer company he works for, and started building this app since April last year. And the idea is you have all the news you need. It's not advisory. It's a macro aggregator, I called it, a global aggregator, to condense, hopefully, the most important News in a very digestible way 24 hours a day five days a week even on the weekends on your iPhone So even if it's long so you hear the news first the squawk. It's a squawk. I worked together with live squawk Harry who got who introduced us a great and so we built this together and It's on your iPhone on the web and and I copied Bloomberg a bit with this IP chat system. You can also have an individual chat where you can ask questions. We have a discussion forum. So, yeah, check it out. I love it. It's my I have my heart into it. And so it's Grimms global macro aggregator. Yeah, ggma. And the way you can go to it is you go to ggma-app.com. Is that correct? Yeah hyphen ggma.

hyphen oh sorry yeah i'm sorry hyphen ggma hyphen app app.com and there's a free trial yes for two weeks yeah and then afterwards if you don't like it there's still a freemium version so like a light version okay so there's no obligation go you can get the the free trial for a couple weeks and then you can always be in the freemium version again it's ggma-appapp.com And you can go there. All right. Um, before we let you go, I have some questions, some personal questions for you that are going to be fun. Um, my wife and I are headed for a hiking trip in the, in the September. Um, we're going to go to do the historic. Now I'm going to butcher this salt, Salza Pennsteg, the historic salt trail.

that winds its way through the Bavarian Alps. Have you heard of this, the salt trail? It ends up in Salzburg. Ah, Salzburg. Yeah, yeah, Salzburg is beautiful. Okay, yeah. So first of all, and then I'm good to be there. And then I'm also going to just switcherlin for some stuff. So Is there something as a first-time visitor to Germany? I've never been, I'm embarrassed to say I've never been to Germany. Flying into Munich. Do you have some must-sees for my wife and I that we need to do? So Munich is a beautiful city. Okay. And then around Munich there's Neuschwanstein, the big castle. I'm really bad at history there, but... I haven't been there either, but I hear a lot of good things. It must be beautiful. Okay. But I sent you the link. Okay. And you have to have a Bavarian wheat beer. Oh, is that what they're known for? Yes, wheat beer. The wheat beer. Okay. And then when I go, I'm going to be in Zurich. Is there, is there things that we must do in Zurich?

Yeah, you have to meet me first of all, and then I'll show you around. But what about people that don't have the pleasure to meet you? What would you be? What's your go-to when you take somebody out to Zurich? What is your go-to must-visit place? I love wandering around the old town. It's beautiful. And of course Switzerland wasn't affected by the World War, so no destruction. It's really original. lots of nice restaurants, bars. I love the feeling. And then in the middle of Zurich, you have the lake, which is fantastic. So don't forget your swimming trunks. And then the surroundings of Zurich or Switzerland in general, the mountains, you can go on a hike or go skiing in the winter. It's beautiful. It's just beautiful. And the people are very, very nice. So we're going to end with the questions. Speaking of nice people, we're going to end with a question about, well, through your career, Has there been something that someone did to you that was especially kind that really helped you out that stood out that you'd love to share with us? Yeah, that was my old neighbor. We were six years old. That meant we got to know each other because...

couldn't remember before. And so I told her about my plans. I was a Munich. I wanted to go abroad and she passed on the CV to somebody. And because I wanted to go to the Bundesbank, the idea was to go to the Bundesbank for a couple of years and then have a better chance to go abroad. And she told a friend of hers who is a headhunter about this and she said, no, you can't do that. It sounds like he's not fitting in into the private economy wants to become. a government employee. So he took on the CV, passed it on to the local Goldman branch in Frankfurt. They passed it on to London. I went over there three times, three days. First round, I thought, okay, this is nice to be here, but probably not second round. Okay. And then they invited me the third time and then I managed to get this job. So basically this old school friend and very close friend still. Oh, that's awesome.

She basically, yeah, I have to think of that. It was one of those life-changing moments. What a coincidence. Oh, that is awesome. All right. Before we let you go, let's just plug your products one last time. ggma-app.com. Make sure you guys go check it out. Freemium version in our two weeks free trial. Gunther, it's been a real pleasure getting to know you. Thank you very much for your time. Thank you so much for the opportunity. Take care. Bye. Bye. Bye. All right, Patrick. Lots going on. Tell us what you see in talking charts. Kev with the conversation, just I don't even know where to start, right? I mean, I guess we should start with, as we were recording this earlier, we had the release of the jobs numbers. And I don't think the jobs numbers were that crazy. It was just a small miss on the non-farm. But like, I think the market just needed a reason.

to just see a little bit of a relief in the dollar trend and other kind of things that were running hot. And it just so happened that the jobs number gave them a little bit of a push. What did you size up from the jobs number? Well, so the jobs numbers, if we remember back, the past three have been way stronger than expected. This one came in lighter. It also got revised the previous one lighter. I think it takes a little bit of a pressure off the Fed that is being shifting to hawkish. I noted in my chat this morning, I said, wouldn't it be just like the market gods to make it such just as the Fed gets a little bit hawkish that they go and throw in a weak job number? And that's in fact what we got. I don't know though if I would use it as an excuse to explain why the stock market's going down, Patrick. I'll take the other side of that.

I think it just corresponded with it. Yeah, I think it was going down anyways. There was some overseas problems. I actually think the meta-news is more important than the jobs number. But I do agree with you that it did affect the dollar and make the dollar go off. It really did help and put a tailwind in Gould's back. All right. Well, listen, I want to talk to the S&P. I want to talk all of these markets, but we have to start with the Cosby. because the South Korean index was and continued to be one of the major bubbles, center points of the AI story. And many have argued that, you know, when Cosby goes, there's a very good chance that it's going to have a contagion effect and take the wind out of the sails in the US and a whole, all sorts of international markets that we're getting.

AI tailwind and what we had overnight in the Cosby was a pretty decisive you know peak to trough two-day drop of almost 12% on the downside obviously on the day it was just a down an 8% gap down on the Cosby and it was some incredibly heavy selling on both obviously SK Hynex and here's the chart on SK Hynex, very decisive gap down just like down 15% on the day and already almost 30% off it's high and the irony of it is so it's 27% off it's high and it's not even testing its 50-day moving average at it like it's like it shows you how overbought it was yeah exactly like the reversion is that dramatic But even though the SK Hynex was a deeper drop, it hasn't done the technical damage at Samsung. Samsung went for a double top retest, and this morning's gap down.

uh actually got it not only below the 50 day moving average but did so decisively with a gap down that basically went through a key support line that uh that samsung and the cospy in general have been forming and so these are the types of early signs that the market is transitioning from a prior bull trend to potentially a distribution cycle. And while one day does not make a new trend and nor do I want to stick my neck out saying I know for sure something is happening, this is not good for the bulls. This is early signs that some distributions happen. What's interesting is While this was happening at Cosby, on the market open, S&P was up, NASDAQ was up, semiconductors were up, but that didn't last very long. And we find ourselves now with the S&P about 50 points off of its highs, certainly fading a little bit. By the way, can I just interrupt here and say we're taping this portion on Thursday at noon. So we still don't know what's going to happen the last afternoon.

probably not much because everyone's taking the day off for the afternoon off for July 4th, but we'll see. We'll see. But nonetheless, the S&P is weakening off of its highs in the hours after this morning's open. Interestingly, when you look at the semiconductor index, also down 5%, it actually opened up on the morning and now has joined the selling party. What's interesting is that the semiconductor breakdown has broken it into a two-week low. at a point where it's now broken the Fibonacci retracement zone which is typically in a bull market respected. Usually a retracement zone will be bought on dip as there's eager money on the sidelines ready to buy every dip and the fact that the bulls let it go through a fib zone is just showing that there's becoming more of a balance in supply and demand and actually arguably even now ample supply up along these levels in the stock is or the ETF is starting to feel some genuine pressure. The big question asked is that will over the weekend, we see some sort of more accelerated or selling on this. One of the big tells to me was Micron. Now, I know you talked the meta news, which I'm not going to disagree with you. But I think the first warning sign was completely the Prairie Dog gap.

on the upside of micron. and nothing but selling since. And it's I'm not trying to say that this is going to be the next Oracle where remember when Oracle did that huge gap on the upside and then just was relentlessly selling. I mean this thing had beat on its earnings came out with great numbers goes gapping 15% higher. You know what this should have been a starting gun for the bulls to go and get another leg in on the upside on the semiconductor index and instead The big money sold into the news. And to me, that's showing signs of a heaviness on here. Now, so, inevitably this was going to happen. Right like inevitably when when markets get so ever extended mean reversion and reversals of trend are Are the kind of status quo or what usually you would end up seeing but the bigger question to me is is that How big of a contingent now let's we're making it. I'm gonna let's start with a hypothetical scenario the hypothetical assumption is that that was the high of the semiconductors and some meaningful mean reverting correction, if not even let's call it a cascade versus a crash so we don't have to sound doomsday-ish, but let's just say semiconductors are correcting. There's some sort of big drop. Can we have a sector rotation that prevents the S&P 500 from drifting down to systematic cell triggers? Or is the semiconductors that big of a trade that they could drag the S&P down and the sector rotation can't keep it elevated. And we're going to see a deeper market correction. What's your first impression when you hear me say that? I think the S&P is just too tight up in the AI trade. It's going to be tough for the US market to not correct in AI correction. It's just too much of the index is made up of this trade like Do I think that other indexes could do well? The ones that have nothing to do with AI that have been shunned because people have been, you know, flocking to the AI for sure. Like the Brazils of the world, maybe the Canada's, even Europe.

But I'm talking about international but how about defensive sectors like obviously did you see the the breakout in the health cares like look at the health cares ripping to 52 week highs look at the way biotech those aren't just aren't going to keep the index up as my point that's the that's the point I was asking yeah like in the end could there be enough rotation that actually keeps the main index elevated no because if the answer is no Okay. Fair enough. I think it's unfortunate that the AI trade is such a large portion of the SMP or sorry of the US stock market. It's going to be very difficult if the AI trade comes on glue for a little bit here for the US to not suffer. Now, maybe it doesn't go down and cascade on itself and create, you know, the situation where of all control selling and we get people rushing out and it ends up being hard.

Kev is actually going to be very hard for that not to happen and I'll explain because you know if that market correction like if you recall back in when we had our sessions back in May the all of the systematic trading strategies, had a cushion in some cases of four, even 500 S&P points with a realized vol that would have to come in screaming in order for the systematics to flick. into cell mode. There was a cushion. But when you have an S&P trade sideways like this for months, it's like a trailing stop loss. All of these things become tighter, realized vol becomes closer, the CTA triggers come creeping higher. And what happens is that that edge of the cliff is much closer this time around.

than it was back in May when we had that quick June drop. So I actually think that this is why I was asking the question, because I honestly think the S&P for those systematic cell triggers to kick in is not that far. Like we are probably, I would argue, that it maybe has moved up from 7,300, maybe it's around 7,350, maybe even 7,400 where you're seeing some of the short-term CTA trigger points starting to come in and the even medium to longer term ones are not that far behind it and all you would need is at this point even a 5% market correction like a 5% market correction at this point would from this level right now would be 7100 almost every CTA trigger at this point would be triggered.

with a 5% market correction and if that would certainly exacerbate volatility, realize vol, vol control funds would join in and we'd have some sort of a bigger corrective pattern that may very well get underway and the the pull point here is like Is it that obvious that this could happen here? Yeah, it's not that obvious because I would I would say if you pulled most people The one thing they think can't happen is the you know a major correction in the summer Right that my original analog was that it was gonna happen in September so the happening in the summer is is the entire thing moving forward and and I'll be quite open about it like I am like when the S&P was at this exact same level back in May I was hedged almost two to three times as much as I am hedged today and and I'm literally now reflecting I was like I'm not ready for this because everyone's been lulled into thinking it can't happen Right. Like, how, by the way, how many times have you heard these are the best two weeks of the year? Some of the seasonally, some of the best two weeks of the year, right? Like, like we have them being down over the last 20 years. I think we've had one out of 20 that these two weeks have gone down. It feels to me like everyone is just like, there's no way it can happen these two weeks. It's not going to happen in the summer. Heck, I'd like, listen, people are more worried about missing the upside than even thinking about the downside, Patrick.

This is the first sign of weakness that we've had that's had gotten anyone even contemplating the downside. I'll tell you, like this may be on the Cosby. Uh, and like we, you know, I remember on this episode where, uh, I stuck my neck out on whether there was going to be the major Cosby top and it wasn't, uh, and I was wrong. Uh, I think I did too. I was even more embarrassed than you, but that, uh, you know, But that was back in March, right? When we made that a first call on the Cospy Top back over here. And it went and corrected sideways. But this arguably, with literally prairie dogging its previous high right over here and V-shaped reversing like this, is more evidence that we have seen distribution starting to take control in the Cosby than at any point. Like that quick correction off of an overbought level back in February was in the end just a reverting retracement but this is almost got the characteristics of a topping formation and one failed rally will solidify that. Like we just need one one squeeze on the upside failed rally and this thing is done. And the question then becomes, you know, and by the way, what's your kind of view? My original speculation, let's call it, was that there would be a robust market froth to basically keep things elevated until anthropic and open AI.

are put out there as IPOs. And so my original whole thesis was that the market was really going to see it's more broader selling once we saw the IPOs get absorbed. But in this scenario, do they delay the IPO launches if the market starts to sell? What happens in this scenario? Would you speculate on what would happen? Okay, so first of all, I've heard that as well. You'll hear people say something like they won't let the market go down before they get off the anthropic and the open AI. And I'm like, since when you quote unquote, they control it that much, that's not the way the markets work. And the reality is that if we look at this, SpaceX realized there was a good market. They came first, they hit the bids.

But not only that, we had a situation where Google realized that this was the world was changing and they sold the largest secondary in the history of secondaries. What was it? Was it 85 billion? 85 billion, I believe was the number. This this was dramatically different. And you know, I wrote that piece that talked about if you looked at share count of all these mag seven stocks and you looked at them. part of the bull thesis of the past 10, 20 years as being the declining share accounts. And for the first time in ages, we actually have them going the other way. This was a big, big deal. Yeah, it's like all of these share buybacks. Oh, suddenly, maybe we shouldn't have done that. And let's go back and throw the shares back on the market when when the ducks quack, you feed them, right? Right. And so the idea that we can say they won't let the market go down until they get off these two IPOs that there's there's no precision like that. We don't know how big the mania was. We do know that there was a response from supply.

And now we're seeing that that response was hot big enough that it's actually causing the market to hiccup. I think where I was one second though, can I just finish? You asked me, are they going to delay it? I would tell them, no, don't hit the bid. Right? Like the reality is these stocks are up a long, long way. I think it's going to be tougher to sell open AI in six months or a year's time than today. I would hit the bid even though the bid has gone down. Yeah. So my first of all, I don't buy that camp and nor would I want a word that they won't let it down like it's somebody who's making the choice to do it.

But it's generally that the risk appetite is high when there's a lot of excitement around these IPOs that generally allows flows to keep the market buoyant. The idea that there's a puppet master back there and saying I'm not letting it go down, it's just usually the market is very frothy and excited about these kinds of things and that just generally impacts the sentiment and the flows of people and keeps the market elevated. But, you know, one scenario that could happen is we go through a very nasty July. Hypothetically, like again, we don't know for sure, but if this cost be is any warning sign Let's say we go through a nasty July. Let's just go with an assumption. It's a 50% retracement So we go down to 7,000 so we we we slam down here and we come in here with a 8% market correction Maybe it's gonna be worse, but let's just start off with this thesis like it's it's gonna be like a 8 to 10% drop down into the Fibre Tracement zones and what if there's an appetite to suddenly buy the dip once there's been a bit of a washout and everything and the market is still maybe not to back to previous highs but because starts heading up where suddenly says that was a big buy on dip now it's time for anthropic and open AI let's get in it might still actually work out, even with a correction that if the correction is only a short term, like typical 30 day little drop, the August, September launch of these IPOs could very well still be absorbed near market highs. I'm not disagreeing there. And then that'll be the next big amount of supply that everyone has to chew through. And that'll probably be the top there, right? The The reality is that in declining markets, rallies get sold and I think that that would be a situation where there needs to be a lot of supply coming to market and they wait for a rally and then they fill that bid. The real question though is, is this something we're going to see where it's going to chew through it and then go on to new highs? I don't think so. I think that there's more and more supply that's going to come on to the market that this Google wasn't a one-off. And to your point though, Patrick, one of the things you mentioned though is when you were pushing back on the idea of they control something, I would argue that usually in an IPO cycle, the IPO supply that's coming on the market isn't this size. And I think that's the part that people are just, I don't know, they're numb to you. Did you go through the exercise? I don't know what it is.

and I'm not trying to like challenge or test it. Did we like GDP, let's say, adjust or stop? Oh yeah, these are the biggest things by huge. No, like I know like back in 2021 or 22 when we did all the Airbnb's and all that shit that Palantir's that came out. That was like 115 billion. And this one's like 300 billion. So five years later, yeah, but it's it's it's almost even market adjusted. It is. And again, it's huge. If you read the piece, Patrick, it was there. If you read my piece, it was in there as a market, as a percentage market cap. I'm pretty sure I did it, but maybe I did it. Maybe I, but yeah, listen, listen, maybe you did. I just got to do this thing of reading your pieces more often. But the reality is though that this is this, this supply situation is way, way bigger than people appreciate. And they think that the world is just the same and that this bull market is intact.

And then meanwhile, Google is hitting you with 85 billion of stock. The world's richest man is like, you know, selling as much as he can as much as the market. And that's the other thing, Patrick. We are taking these IPOs and let's remember SpaceX has all those unlocks coming up. Yeah. So those unlocks are in essence secondaries because that's going to be people have the ability to sell in the open market. So that's going to be more supply coming, you know, to the market. I don't know. I just listen, I'm pretty bearish. I in terms of this, I think that the market is so it's interesting at the wrong time. At the time we're recording this, you're not seeing the response in volatility metrics like the VIX. And I'm a little surprised by this, like, would the cost be making the move it did with the semiconductors making the move they did?

We are down like 5% or more and with the NASDAQ rolling over S&P, I mean, look, I mean, I get it. It's only 50 points, but the VIX is still a red candle right now. Like, and so right now at least. It's the day before long weekend though, Patrick. And, and, but maybe that's a gift. Yeah. Well, I'm not going to disagree with you there. And yeah. Yeah. Like maybe it's a gift. Maybe the fact that right now. Because normally, if this was genuinely like a concerning moment, usually that VIX would be 1920 on this first first breakdown candle, like you would immediately have risk premium coming in with some sort of size. Maybe all these traders are out there on the beach planning their little vacation and and not paying attention. Maybe most of those guys are like sitting in a van outside the Mediterranean.

Could be, you know, and, and, and, and the hedge, see, that's the problem. You just told me under. Okay. Sorry. Not unhedged, under hedged, under hedged. This is the problem. Less hedged. Yeah. Less hedged. Maybe I'm going to go, let's pause the show. Let me quickly go buy some. Much the big, go bid as Patrick and his minions lift every offer. I can just see all the S&P you've got, market makers. What is this swarm of bull buyers? Yeah. Where did this come from? Yeah. But nonetheless, you know, it's interesting. I appreciate what you're saying. I agree with it. This Cosby breakdown seems very real. And the fact that the market is weakening off of its highs can't be ignored. All right. Let's move on. I want to briefly touch Oh, by the way, listen, so I launched this new site, cotsignal.com. C-O-T, by the way. C-O-T-S-I-G-N-A-L.com. The normal word signal. If you don't know how to spell signal, you shouldn't be listening to the show. Hey, hey, you're going to get rid of a quarter of our audience with the same stuff like that.

If you don't know how to spell signal, you definitely should be hosting it anyway, so caught signal calm and Let's talk actually about S&P positioning on the cut signal. So well first of all one of the cool things that I felt strongly about doing I've worked very hard with One of my market strategist and the seal over at Big Picture Trading to build out this caught page. And what I really wanted to accomplish with it was just rethink the way caught reports are presented. Because in so many places, when I've wanted to go and look at the caught, I'm going to bar charts or some other site. By the way, sorry to interrupt, but why don't you tell people what caught is? Like, why don't you step back? It is the commitment of traders report.

Okay. And it's done by the CFTC. And what they do is the Futures Commission requires all participants to reveal what their intentions are. Are they a commercial hedger to protect their businesses and forward sell their production or something? Or are they a large speculator like a fund that's built something or a hedge fund or CTAs doing systematic strategies? Or is it a small speculator that's just doing such small size that it's not reported as one of the large players? And in the end, they categorize them. And the best part is every week they release the report. So it gives a beautiful. a relief of how everyone is positioned in hindsight. Obviously, they always collect the data for a Tuesday and release it on the Friday. It's immediately three days old, but it is a window to see how everyone is positioned themselves in the market. Do you want to add to that or is that? No, I think it's perfect. I just wanted to make sure that some people might not be familiar with it.

Right. And so this is important because how everyone's position reveals where there are stress points, where there's crowding, which can cause squeezes or potential washouts when everyone's trapped in positioning. And so notice here on the first one I did with a heat map is I wanted to, first of all, we made it as a percentile of their 52 week look back of where they rank. So that way it oscillates between zero to 100 on the heat map. in terms of a percentile and it gives us a very quick picture as to see where different assets are at different extremes. And so what we can observe when we look at the heat map here and the first thing that's there is the S&P 500 from a large spec perspective, they're at the 100th percentile as of the June 23rd.

23rd. So we're going to have the new data right now over the weekend. So we're going to find out whether that has changed. But it's 100 percentile of the over the last one year look back of S&P spec traders. The small speculators are at 80th percentile, and commercials are also at the 100th percentile. We inverted this just so that we have this left to right sequence that makes it natural to read in there. So we inverted, but right now, commercial hedgers are incredibly heavily hedged, and large speculators are at the highest exposure they've had in a year. Now, one of the cool things that we've done is we started tracking the net position divided by the open interest in order to do apples to apples comparison because over three or five year lookbacks, the interest in a market changes and the amount of open interest contract changes. And there's no way of genuinely being able to size how it's comparative unless you normalize it by that open interest. Yeah. And so many people get this wrong. Like you'll see guys say record amount of short interest in this and that the reality is in a growing market, you're always going to have records because the market keeps getting bigger, larger and larger.

it's how big is it relative to the percentage of the open interest yes so this is the interesting part while it is at the 100th percentile for a 52 week look back back in the summer or the sorry the fourth quarter of 2024 we actually were at a higher net position of longs and an even higher one back in February of 2022. So on a five-year look back, it's not an extreme. It's just an extreme from a 52-week look back. But it's still at a 52-week high. in terms of long speculator positioning. And so over here, we have the 52-week positioning score, which basically oscillates between 0% to 100% in terms of their net exposures. And you can see underneath where the equity markets are. The point being, and I like to make this stressed, that just because a market becomes crowded doesn't make it a contrarian trade to immediately go the opposite direction. Often trades that get crowded or washed out can stay that way for extended periods of time. In itself, it's not, it's a way I would, I would like to use a nightclub analogy, Kev. So like if a nightclub is empty, and you say observe that it's under owned that it's basically under a thing doesn't mean people will show up and fill the club anytime soon that club could end up staying empty at the same time if you have a super hot club and everyone's piling into there and it's a crowded club um the danger is when there's only one exit door and someone yells fire and everyone's trying to get trampled out But you could have a situation where the nightclub gets packed, everyone's having a great time, but no one yells fire. And the party just continues, and the cost keeps going higher and higher. The point is, I want to make it very clear that anyone using this site, just because you see something at the 100th percentile, do not immediately assume that that therefore means you should be a contrarian and immediately short it.

It's not, you know, it's not enough evidence alone. What we do is we love using technical analysis where what we want to see is when the price action is not confirming that consensus view, because then that means a lot of people are going to be wrong. It almost sounds like a Bruce Kovner quote or something. Yes. But, but... Kind of knows a little something about markets. Exactly. But in the end, what you're looking for is not when it's super crowded or super washed out, but when the market is telling you something different, when no one is paying attention or everyone's on the wrong side of the trade, because that's when it allows the biggest moves to actually happen. You have something to add to that or does that make sense? No, it's great. It's great stuff. Make sure everyone you go to caught signal.com. Check it out. Well, it's free. Thank you. Yeah, it's free. And literally, no strings attached, use it, enjoy it, have a great time with the site. I want to just make sure everyone has...

you know, a great window. I think most people hear about caught reports and no one uses them because it seems overwhelming. You know, in a confused mind says no, like when you when you don't know how to interpret the data. And our goal was to decode this like literally presented in a way where more people are able to actually interpret the data and have a way of using it to to build stories around trades. Okay. Yeah. Do you have any other things than the caught report that you want to highlight? We do. So we're going to correspond it with some chart stuff. So let's talk about that dollar on today's jobs report. The dollar was the first to respond with some weakness on here. When we go to the commitment of traders reports under currencies, I clicked this little button here on currencies. As of last week on the June 23rd, when this was the reporting date, we had the pretty much the 100th percentile in the US dollar index.

right across the board in terms of large spec, small specs and commercials very decisively positioned on that and currencies like the British pound zero percentile right across the board but pretty much every cross currency has been completely washed out against the US dollar and so what we've seen here from a positioning perspective is that while the US dollar has made this beautiful breakout Everyone's in on it like this is not a this is not a secret like everyone is now sees the writing on the wall and is more or less already positioned for this and this to me Obviously illustrates that the dollar has room to pause here, but I Still like I was saying earlier with the nightclub It just might mean the party keeps going the big tell for me is that will the dip be bought on the dollar?

the dollar has established a 15 month trade range that had that 100 level on the Dixie, more or less the top of the 15 month range. And in technical analysis, what was previously resistance often turns into support. So when that area gets tested, that should be where new buyers get attracted. So here we could easily see a one full point on the Dixie back down to 100 but what I'm going to be watching is will it be bought on dip at the 50-day moving average along where these overhead resistance levels now become support and will that be sort of like a typical retracement point for a bull continuation pattern in the dollar. I'm not ready yet to fade this dollar move. But this is where the big tell will happen. And so this is a this is a level where I'm going to be watching how this plays out. Okay, what else? Any comments on the current? No, I listen, I don't have anything to say. Yeah, the dollars overbought of everyone I know is long and expecting it to go higher. And again, it feels like the surprise will be with dollars selling off. Actually, you know what, no, no, we do have to pivot on one currency before I go to the gold, the yen.

The yen one and a half points today is funny. Just want to rub it in. No Not only did but like there's there's speculation out there that the That the Japanese government Bank of Japan are going to attempt to intervene here. There was a little bit of a I don't think there was an actual intervention. I think it was the rumor of an intervention. They need to do more than intervene, Patrick. They need to do something dramatic. If you like GPIF, they need to change something. Well, you know, I mean, there was Abinomics one time before, but that was, that was not what they needed. It's easier to make your currency weaker than it is to make it stronger. And that is the problem here. I've been shocked at the amount of pain that they're willing to sit through, but I guess To some extent, it's not pain. It's like it's pain when they're paying for oil and other things. But the rest of it, you know, it's all they're able to sell more of their cars and everything. So they're they're able to compete against other currencies. And it's really the currencies that are strong, and I guess are really feeling the pain from an economic point of view. So listen, back in like April, May, when that drop happened.

Uh, I won't lie that I put my toe in the water to mess around to see whether or not some sort of a carry trade unwind kind of scenario, uh, could emerge. Uh, but you know, the funny thing is the reason it might work this time is I'm not interested and I'm not in it and I'm not totally interested. So now this is my gift to all of you online. When I'm sharing with the fact that, you know, I'm clearly going to get blindsided by this if it happens because I have this time and I didn't put in my starting position. And by the way, the currency whisperer, I put posted this in my chat and chat free. You're welcome to come and see it. I update when the currency whisperer reaches out. The currency whisperer reached out more than a week ago and said he was buying Yen calls.

Right? Not USDGPY, but like the currency futures, he was betting stronger yet. So he's a wise man, that currency whisperer. The thing is, everyone always wants updates from the currency whisperer. It doesn't work that way. It doesn't work that way. I need to wait for the currency whisperer to reach out to me. Exactly. Like, you know what? You can't ask, you have to wait. Yeah. So he feels like he's ready. He'll tell you. Right. He first puts his positions on. That's right. He knows that we can then move the market for him after market. How does he whisper the market hire? He gets on the ear of the yeah, that he sends the message, sends the smoke screen. The currency whisperer loves Japanese yen. Blue horse. She loves any kind of steel.

Exactly. So gold, a little bit of an uptake on the dollar weakness, like it all kind of temporarily kind of look, it's not a reversal. The trend has been awful. This thing is overdue for a bounce, but it is interesting. Again, looking at commitment to trader positioning on gold, we've actually spent when I'm just going to go straight, like we're not washed out and under roamed at the moment. but we were for several months down at the zero percentile of gold. Basically, whatever large specs were in there were more or less washed out, CTA's flip short, whatever players out there unwound their positions after that. And we're now seeing a little bit of accumulation coming in on the gold markets on here. And so we had the gold and silver markets, how quickly show pretty much washed out for months during this downtrend. And so really at this moment, other than the hardcore bulls that are out there saying, oh, this is definitely the buying opportunity, it has been a vicious four or five months. And to be honest, This is already meeting the criteria when we were when we do did the blow-off top in the retest back in JAN FM. I Was pretty adamant about the fact you don't have a two-year bull market and then a correction that ends in 30 days There's a symmetry to this, you know that if you have a two-year run on the upside there's going to be some sort of a pause and reversion at some juncture and so at this moment for us now having corrected from its peak for now almost six months, we are now in a territory where enough time has passed and the reversion has been deep enough that if a low came in here, it would technically be reasonably in line with what one would have expected from ebb and flow movement of retracement. If I put this on a weekly chart, at this moment, gold has, you know, dropped below its 38% retracement, didn't quite hit its 50% retracement of the weekly chart rally. But like I said, you know, this zigzagging kind of correction down here is already, I would definitely say the decline is underway, but it feels very seventh, eighth inning, if not already ninth inning, but I'm not going to stick my neck out saying ninth inning yet. But It's late stages. In other words, you're not buying gold anymore, 5,400. You're right now, you know, gold down here, 4,000 is probably, you know, you've got 10% downside risk. Maybe we go to 3,600, but I mean, that's pretty asymmetric because when gold rips, you've got a 20, 30, 40% upside for you to have a short-term 10% holding risk is acceptable.

into some degree or another. Point is, I don't know when I'm prepared to already say a low is in, but gold's getting washed out. It's already had a long enough time frame of selling. And so at some point we're going to see a bottom develop here and it's going to be an asymmetric lawn. Got it. All right. What else you got? We got to talk about this blood, bath and oil. Oh yeah, just keep bleeding. But you know what's crazy? What's crazy is that the lungs have not been washed out. While we've gotten down we're gonna see the data this weekend and what comes out from the from the new report. Hopefully I'd be shocked of this new one doesn't show them getting washed up Yeah, I wouldn't be shocked to and the other thing is are you using you got to use Brent as well? Yeah, this is yeah, this is CL but point being here though is that we obviously were at the hundredth percentile during that March peak and We've worked our way down, but nowhere near Washed out like we were in in 2025 on the downside of crude positioning and so Right now no matter how painful like this is this it like literally we can write a textbook on the pain trade using this oil contract It's it literally because Because it was genuine fundamental reason why oil was higher they're literally oil inventories around the world were being depleted. You basically had the straighter hormones closed, tank bottoms on cushing, and other things like this happening. And so you have all of these things happening. There was in any rational macro strategist's mind, this is a once in a lifetime moment that you see in crude oil. How can they not result in oil prices remaining high and the problem is is that that was a very consensus view and to be honest in many ways I can't find like I remain long some crude oil and painfully including some hedges that didn't hedge as much as I wanted them to. But, you know, I'm like, well, look, an oversold market like this will inevitably fiber trace or bounce. It's going to come and find a new fair value. So I can't find anyone who disagrees with me other than I think I read Domburg or something that was basically a little more bearish. But but you're saying that you don't know any bears? Oh, I you're just you're you're talking to too much of your that, that show you cheat on me with, uh, you know, that it's just, that your crowds all the same. Cause I know nothing but oil bears now. Really? Yes. Like I know the occasional guy that's like, you know, and like, you know, Palo macro is a good pal. And like, so obviously he's bullish and they're, I know a couple of bulls, but on the whole, when I go look at what I'm reading and stuff, there is way more folks calling for 50 oil than there are guys calling for 100 oil.

Really? Okay. Yeah. So to me, I feel and not only that, Patrick, you admitted you're long. Almost nobody's willing to do that. Like I wrote it up because I feel like everyone was was puking. Let me show you my scars. Look at the look at the scars. Well, let's see. At least you have scars. I'm missing toes and fingers. But no, I it cost it caused my biggest drawdown in years, dude. Like it's oh, yeah. It's I it's We need a lot of guys that were puking that out. I bought a lot of the people that were puking like I only bought a week ago or whatever it was a week and a half ago. So for me, I'm offside like maybe five bucks. I don't even know if the stocks are offside versus where where I could actually like the stocks, but I still think this is just noise and that at the end of the day, Patrick, the surprise was how malleable, the oil system was, how much SPRs there were out there, right? And how much they were able to fill that, that, and that we didn't hit tank bottoms. Like everyone said, that was the surprise. But the long and short of it is we still emptied SPRs. Like we've never emptied SPRs before. Like even now, I believe we're still emptying the SPR, right? Like thinking about that. We're emptying the SPR into these prices. And so my point is that on the other side of this, we're going to actually have to fill those SPRs. So the surprise was on the one hand that it didn't go up to 200 like everyone thought. I still think that the surprise on the other side is going to be that the SPRs remain bid forever. And to that note, Patrick, it's not just filling the SPRs back to where they used to be. It's also the fact that people are now going to say, I need a bigger SPR because I realize now that the world is not as safe and is as stable as I thought it was. And so I, you know, one of my good subscribers buddy, he just sent me the article about, um, the Indians, uh, you know, filling their SPR, they've made it, they've tripled the size of it and that's going to be on the bid forever and ever and ever. So yeah, we can sit here and argue about the squiggles, but I still think that from a bigger, longer, structural practice, there's going to be structural demand on the other side. And the only reason we haven't seen that yet is because we're still emptying the SPRs.

And that the real trade is to play for the SPR refilling. That's how I view it. Well, you know what? I mean, that's just you have to make sure that, you know, you have the right time box for that, like the duration, because like, in the end, what surprised me the most is that usually, like as an example, look at this sell off over here. After several weeks of dramatic selling, There comes the elasticity of the snapback rallies, and oil is notorious for these violent swings down, wash people out, and violent swings back up. But this has been a relentless bid. A relentless offer, you mean? Yeah, offer. Yeah. Hitting the bid each time. Yeah. Because it's the SPR is just emptying it, emptying it and emptying it and just filling it, filling it and filling it. Not only that, there's all sorts of wild stuff going on in the crack spreads and this is like, this, this story's not over. Everyone, all the, all the, the oil bears, the, you know, the, the guys that say you should never, you know, go against Trump. He's, he's won again. Let's, let's see where we are in, in six months. Cause I'm still worried that that this this isn't over by any means. And I listen, I'm not rooting for oil to go up because that's the other thing about this. It's a terrible position to have because like the reality is that the world's the worst place with oil hire. Like we should want oil lower. The everyone's like, if oil goes up to 200, it's going to be problems throughout the world. So like that's the shitty thing about having that position. But Having said that, I do just think people are way too complacent about this and that this SPR bid on the other side. You know, I don't even know if you need the SPR bid. I think you just need the SPRs to stop selling and we probably have this thing go bid. It's true. Like I there's there. Yeah, I'm not going to say anything else. I agree on that.

I wanted to wrap up with just quickly touching on copper here. And this is the most interesting for me because this is really test this caught report stuff really well. We had a very consensus positioning to max long on copper. Now we're at the 80th percentile right now. But we were at the 100th percentile just last week. And we basically had copper at not only a one-year high, but you have to go all the way back to 2020 into 21 to see a net positioning as a function of open interest that was as high as it is. Again, to the point crowded trade does not mean it's over right away. It just shows that there's a lot of people that are structurally bullish copper and are looking for this trade to work. And what's interesting is that this is really the key test. When you have this type of a retracement, as you see here, copper doing a 50% retracement, this is where if the bull party is going to continue, And this crowding is proven correct. We should reclaim that 50-period moving average. We should see this thing back above 640 toward 650 within a week or two. And then they could take a stab at 7.75 on the upside. This is still possible. The bulls are still in control. This chart has still got the characteristics of higher highs, higher lows, fibrous tracements, and everything. But this is actually A key moment because the trade is very crowded and if copper fails to confirm that the bulls are in control and make these breakouts then There could be a lot of velocity to the downside if the if there's an unwind And so this is one where I would stay long copper, but I think if there was ever a time to own hedges and protecting your copper positions. It's now like you did. This is where that's why you got to go to caught signal.com. Thank you, Kev. But it is it is it is really interesting, you know, and yeah, but that's that's one of my covers. There's something you a chart you wanted to look at. No, I got nothing else. Well, listen, I'm going to be doing an update every single week on YouTube.

on the caught report. So if anyone wants to just see what I'm seeing changes week over week and bringing things up into a thing you can see right here on the right hand side is a YouTube video. They'll be updated weekly after the caught reports are released. I'm just going to go through the heat maps and show the key changes and highlight what's going on so you can check that out. And he promises to smoke no cigars. Yes. That was a phase. It was a phase. Oh my God. All right. We're that's it. All right. No more. So listen, first of all, happy Canada Day to all our Canadian listeners and happy July 4th to all of our American listeners. This is a big one I hear. 250 rumor has it. Yeah, rumor has it. Enjoy yourself.

Have a terrific weekend Listen bear market bull market. Oh, I should tell the people where can they find more about you and your terrific service Patrick? You can find me at big picture trading calm But check out the cot signal calm pages and Kev where can they find you I go to the macro tourist calm and by the way if you're watching this on YouTube Make sure you subscribe, but don't just subscribe click on that thing and hit all instead of personalized Listen, bear market bull market. We're just happy to spend some time. Thank you for tuning in. Have a wonderful long weekend. Now stick around for the after show. Here comes. I'm not even going to rate this beer because we've had I've had it numerous times on the show. Every time I'm, you know what? I think you should rate it and then people should tell you how the distribution of your returns. Shit. I don't even know what I rated last. We can figure it out.

I'm gonna give it a 7.1 just so that people can call me out if they... It's probably gonna be higher before. It's a good drinkable beer on a nice hot sunny day. Well, Danny was giving you a lesson in Spanish. What is it? Two L's? Two I's? What is it? Sound like a L? Two L's is a Y. Two L's is a Y. Coming from the Englishman. Absolutely. But you but not for the Portuguese because when we were saying that like Most Portuguese will say Seville and And Spanish will say Sevilla for the city like so like the Portuguese will still pronounce it with Yeah, by the way Patrick. Oh, sorry finish up. Sorry. No, I'm just saying yeah, so obviously the Portuguese I'm turning Portuguese is basically yeah, so I'm speaking Portuguese a big game tonight in Toronto. Yeah Portugal versus Croatia and we haven't yet tonight in Toronto 7 p.m. And we have huge communities both in Toronto Yes, so everyone's joking that this is like the Catholic school nightmare, you know finals We'll see whether there's riots on the streets. Yeah I don't know which which community would be larger in terms of Torontonians, but it's going to be a huge game and it's really hot like it's hot here. No, but you know what? I the Portuguese community is huge in Toronto. When I was in great school in north of Toronto, I was in a class that literally 50 percent of the class of Portuguese. Come on.

Why where I say north of Toronto. Where were you growing up in that time? It was in Bradford. Bradford like home of Wayne Gretzky Bradford. No, no, that's Brantford. Bradford's halfway up to Barry. Oh, right. Okay. But anyway, point is, is like literally half the class was Portuguese. Like there was I was in like the heart of the and here I am living in Portugal. You just you just loved it. It just rubbed off on you. By the way, did you know that a lot of Torontonian Portuguese People are actually from the Azores? Yes. Basically, you're halfway across the ocean anyway. Yeah, they were just like, screw, we'll just keep going. And then where should we go? And little did they know they were coming to a place that's going to be a stupid island. But it is a beautiful island. Now that, you know... I haven't been to the Azores. Have you been to the Azores as well? Yeah, I've been twice. I've been in Madeira now four times. Beautiful islands. It's just stunning. Beautiful places to visit.

Must wonderful people. So who are you going to root for? I'm Portugal. I guess you got to root for Portugal versus Croatia. You got to vote. I got to vote for I think but I'm two of my best friends are Croatian. And so this is a very heated kind of moment. But you know what? I'm living in Portugal. I would love to see Portugal go because I literally will drive back. to Lisbon on July 19th to be there. If they go into the finals, just the thing like I was planning on being across Europe, but I'll drive back for that. Okay. So listen, we got to talk about Danny's team. You got this guy. I didn't understand. There was these keen jokes and I didn't understand them for, and then I finally figured it out and stuff like that. Tell us about your team.

Do they have a chance? What's going on? I think that they have trouble in the heat, right? Like, this isn't very good for them, this heat wave. Look, look, look, look. Right. I'm going to put something out quite clearly here. Like, you see that England always do this. They start strong. Yeah. Everybody gets really like, wow, this is going to, this is the one, guys. This is the one. Yeah. And then you slowly start to see how bad they just become very, very, very slowly. and to be quite honest, I think we're already at that point where I'm like, I think you've got maybe one or two matches and then it's not going to do well. That's it. He's like a Maple Leaf fan and he sort of hope it's been beaten out of him. When was the last time, when we talked about this, you guys won like in the 60s or something? It was a long time ago. When was the last time?

Yeah, and that was that stupid goal. You cheated and it didn't even go in or did go in. I don't remember, but I mean, that sounds like I did you guys. Oh, did we talk about this? The Scots came and drank all the beer in Boston. Oh, that sounds right. Did you know that they literally came and they drank all the beer in Boston like they ran out of a beer and it was so bad. The one guy was like, Yeah, all they had was, you know, in the Scottish accent, he's like, all they had was Bud Light. We're not drinking that. Right. Now, right. So the last time in 1966. Wow. 60 years ago. Yeah, you got it. But good with the math. That would be there. There's a very famous song with that. It's coming home.

Right. And in that song, they said 30 years of her, but now it's the years. No one bore when it was very dumb boards when Beckham was on on the team. Did you guys get close? Yeah, I think it was like the nineteen ninety seven World Cup. I remember being well, seven years old. And I remember we were close. I remember it was this whole hype around it. But since then, it's just it really is just. There's not even any point, really. You might as well just root for another team, which is exactly what I'm doing. I'm like, I'm hoping Portugal do pretty well. A true English fan. He's completely giving up. He's just like, oh my God, they're going to lose anyway. You watch, buddy. This will be the year. How about Canada doing well? Yeah. I did not expect that. I was not following Canada at all. Yeah, we have some players. I think one of our main guys has hurt, too.

Like we have some guys that are that are playing like like they're actually good That's not like France where everyone is like on you know winning this winning that or whatever, but it's we have some decent players You know, it's wouldn't be hilarious because we lost hockey and like that's like Like in Canada you literally you get a silver and hockey and like what the hell you guys got a silver There's this one great picture of this woman on the woman's team because I think we lost on both. I think we got silver on both. And this woman looking at her silver medal with the biggest look of disgust she's ever had. And so wouldn't it be hilarious if Canada just all of a sudden did like, I think we're like less than a 1% chance. So we're not going to win. But wouldn't it be hilarious if like we actually went far in soccer and everyone's like, oh, look at the funny thing.

the fact that you've just brought that up. Actually, and I think we've forgotten this, but the the women's England team actually won the euros. I think it was in I'm looking at it now because don't fact check me, but I think it was in twenty twenty twenty two and they won. Oh, there you go. But that's the euros. That's not the FIFA or that's not the world. The fact that we won something is it's pretty special. OK. Good. I don't, I mean, take that away from you. So, but you know what? Like Canada is playing Morocco and you know what? Like Morocco has been playing great, but it's not that crazy for them to be able to. But I think that I think the next round is France though. Yeah. And that's, that would be France. That would be the challenge, right? That would be the slaughter.

isn't France gonna win at all like isn't France that's that's the favor for sure yeah yeah I love that the Italians didn't make it and when you talk to an Italian they pretend like it doesn't even exist it's it's dead to me I literally went to a hedge fund dinner and it was like three or four Italian dudes and they were just Livid but their team didn't make it like it was just wild see how upset they were about this It was just they were this was a huge deal. I take it they're ninth us like in terms of their seating I don't really know but somehow they missed the I don't know. I don't really understand the whole thing I don't even know how they probably drinking probably drinking cappuccinos or Yeah, I've got because not only that this was an extended this one was bigger than most people's right be or the most World Cups because we added a whole like 16 teams. I think This is the largest one ever. Well, I guess so Actually, I think you're right there. I don't I don't be complaining that the quality sucks because there's been teams that really shouldn't be in there I mean you say that but then England still sucks. So I Okay, we'll let you guys go and have a nice swim in the Mediterranean or whatever you guys are doing you bastards It's Yeah, he's he's in the Atlantic. I'm in the Mediterranean. Okay, but swimming nonetheless. Okay. We'll have a terrific time Happy Canada day. Happy 4th of July everyone. Thanks for tuning in and we'll see you in a couple weeks time. Take care. Cheers everyone